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Introduction to Synthetic Indices

What They Are and Why Traders Choose Them

Synthetic indices are unique financial instruments created and offered exclusively by Deriv (formerly Binary.com). Unlike traditional forex pairs, stocks, or commodities, synthetic indices are computer-generated markets that operate **24 hours a day, 7 days a week, 365 days a year** — completely unaffected by real-world news, economic events, central bank decisions, or geopolitical crises. This makes them one of the most consistent and predictable market environments available to retail traders.

The price movements of synthetic indices are generated by a **cryptographically secure random number generator (RNG)**, which is independently audited to ensure statistical fairness. Each index has defined volatility parameters that remain constant, giving experienced traders a measurable statistical edge over time.

Why Trade Synthetic Indices?

- **24/7 Markets:** Trade any time including weekends and holidays — no market closures.
- **No News Risk:** Unaffected by economic data releases, NFP, CPI, or Fed decisions.
- **Consistent Volatility:** Each index has a fixed, predictable volatility profile.
- **Low Capital Requirements:** Start trading from as little as \$5 with micro-lot positions.
- **Fast Execution:** Instant fills with no slippage on most order types.
- **Transparent Statistics:** Defined tick frequency, volatility percentages, and behavior parameters.
- **Multiple Index Types:** Choose from volatility, boom/crash, jump, step, and range break indices.
- **Accessible Globally:** Available to traders in most countries without regulatory restrictions.

How Synthetic Indices Work

Each synthetic index is powered by a pseudo-random number algorithm that simulates realistic price behavior. The algorithm is seeded with publicly auditable cryptographic hashes, ensuring no manipulation is possible. Tick data is generated at regular intervals — typically every second — creating a continuous price stream that traders can analyze with all standard technical analysis tools.

Because the underlying mathematics remains constant, patterns that work on synthetic indices tend to have higher statistical reproducibility compared to live market instruments, where human sentiment and institutional order flow can invalidate even the best-backtested strategies.

Synthetic Indices vs Traditional Markets

Feature	Synthetic Indices	Forex / Stocks
Trading Hours	24/7 / 365 days	Limited sessions
News Impact	None	High
Volatility Predictability	Fixed parameters	Variable

Minimum Deposit	From \$5	\$50–\$500+
Spreads	Fixed / Tight	Variable
Manipulation Risk	None (RNG audited)	Institutional risk
Instrument Types	6+ index categories	Thousands

■ **PRO TIP**

Start with a demo account on Deriv to practice all synthetic index types risk-free before committing real capital. Spend at least 2 weeks paper trading before going live.

Volatility Indices

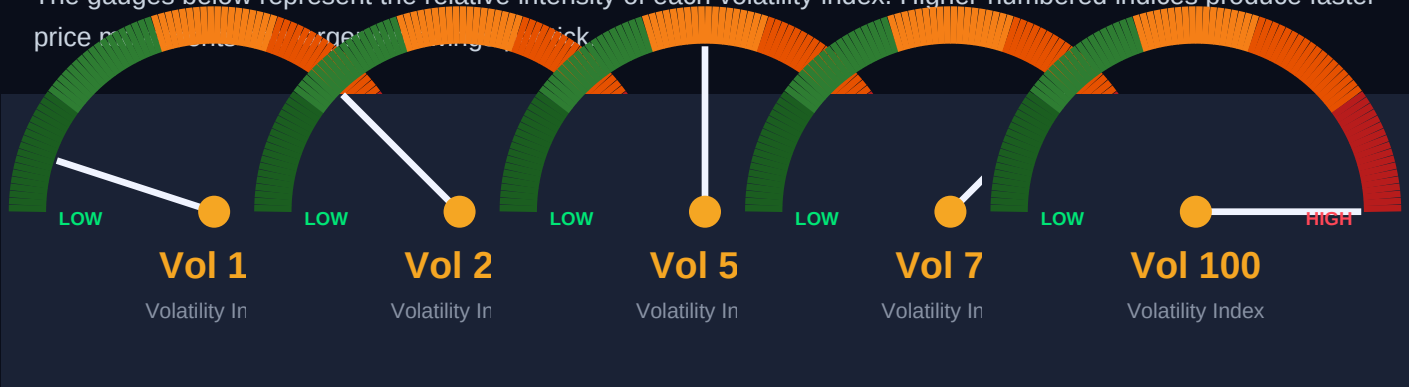
Vol 10, Vol 25, Vol 50, Vol 75 & Vol 100

Volatility indices are the flagship instruments of synthetic trading. Each index has a specific volatility percentage that defines the average magnitude of price movements. The number in the name refers to the **simulated annualised volatility** — so Vol 100 moves approximately 10x more aggressively than Vol 10. Understanding which volatility level suits your trading style and risk tolerance is the first critical decision every trader must make.

Index	Volatility	Risk Level	Best For	Characteristics
Vol 10	10%	Very Low	Scalpers, beginners	Tight ranges, slow movement, ideal for learning
Vol 25	25%	Low-Medium	Day traders	Smooth trends, reliable S&R; levels
Vol 50	50%	Medium	Swing traders	Balanced volatility, good for most strategies
Vol 75	75%	High	Experienced traders	Larger swings, more opportunity and risk
Vol 100	100%	Very High	Advanced traders only	Extreme movements, highest profit potential

Volatility Gauges

The gauges below represent the relative intensity of each volatility index. Higher-numbered indices produce faster price movements, larger price ranges, and higher risk.



Trading Each Volatility Index

Vol 10 Index — 10% Annualised Volatility

The most stable of all volatility indices, Vol 10 produces slow, deliberate price movements that are ideal for learning technical analysis. Spreads are tight and trends are more sustained. Recommended lot sizes: 0.01–0.10

per trade. Average daily range: 50–80 pips. Best strategies: scalping, range trading, simple moving average crossovers.

Vol 25 Index — 25% Annualised Volatility

Vol 25 offers a balanced environment with slightly faster movements than Vol 10. Trends form reliably and support/resistance zones hold well. Most technical indicators perform consistently on this index. Average daily range: 120–200 pips. Best strategies: trend following, Bollinger Band breakouts, RSI divergence.

Vol 50 Index — 50% Annualised Volatility

The most popular volatility index among intermediate traders, Vol 50 provides sufficient movement for meaningful profits while remaining manageable. Chart patterns like head & shoulders, double tops, and flags appear clearly. Average daily range: 250–400 pips. Best strategies: price action, pattern trading.

Vol 75 Index — 75% Annualised Volatility

Significant price swings make Vol 75 attractive for traders seeking larger returns per trade. Stop losses must be wider, and position sizing discipline is critical. Emotional control becomes paramount at this volatility level. Average daily range: 400–700 pips. Best strategies: breakout trading.

Vol 100 Index — 100% Annualised Volatility

The most aggressive synthetic index, Vol 100 can produce 1000+ pip moves in a single session. Only trade this index after demonstrating consistent profitability on lower volatility instruments. Use minimal lot sizes and always pre-define your maximum risk per trade.



WARNING

Never increase your lot size when chasing losses on high-volatility indices. Vol 75 and Vol 100 can trigger margin calls extremely quickly if position sizing rules are ignored.

Boom & Crash Indices

Trading the Spike Markets

Boom and Crash indices are among the most exciting — and potentially most dangerous — instruments in the synthetic indices family. They are characterised by **sudden, dramatic price spikes** that occur approximately once per 1000 ticks (for 1000 series) or 500 ticks (for 500 series). Understanding the mechanics of these spikes is fundamental to developing a profitable trading edge.

The Four Primary Boom & Crash Instruments

Boom 1000

Spike Type: Upward spike ~1 per 1000 ticks. **Trading Bias:** Buy bias — price trends upward between spikes

Boom 500

Spike Type: Upward spike ~1 per 500 ticks. **Trading Bias:** More frequent spikes, faster upward pressure

Crash 1000

Spike Type: Downward spike ~1 per 1000 ticks. **Trading Bias:** Sell bias — price trends downward between spikes

Crash 500

Spike Type: Downward spike ~1 per 500 ticks. **Trading Bias:** More frequent crashes, faster downward pressure

Illustrated Chart — Boom Index

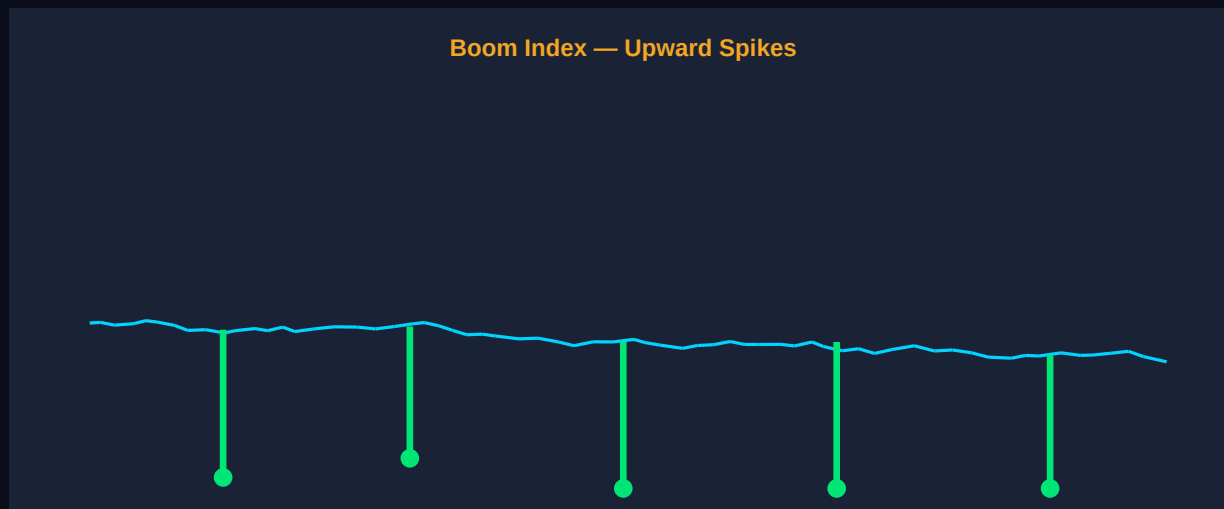


Fig 3.1 — Boom Index showing characteristic upward spikes at irregular intervals

Illustrated Chart — Crash Index

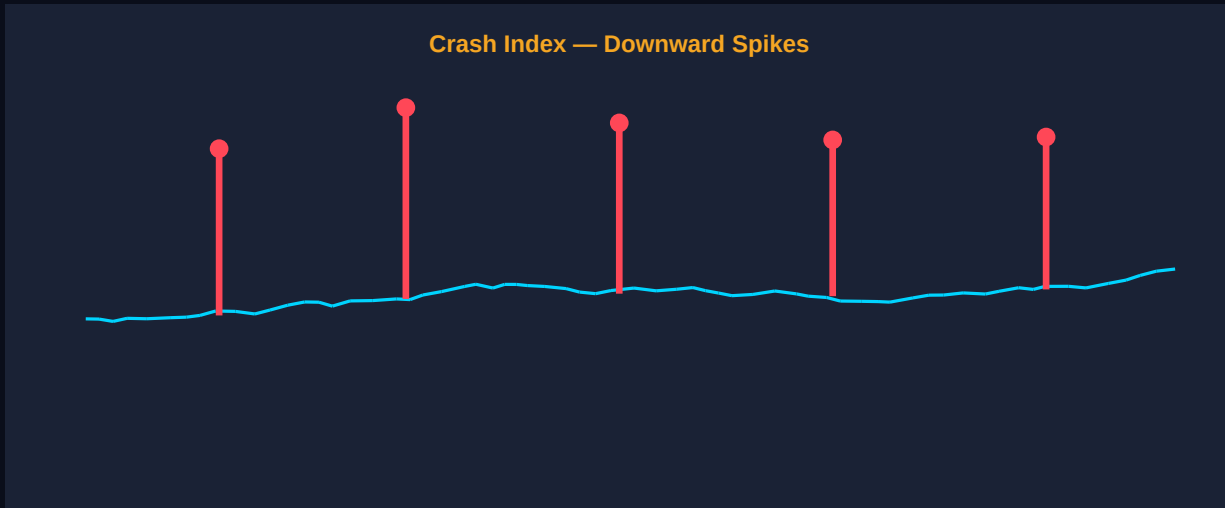


Fig 3.2 — Crash Index showing characteristic downward spikes and gradual drift

Boom & Crash Trading Strategies

Strategy 1: The Spike Continuation Trade

After a major spike occurs on a Boom index, price typically retraces before continuing its upward trend. Enter long positions on the retracement to the nearest support level or moving average. Use tight stop losses just below the post-spike low. Target: the next potential spike level or 2:1 risk-reward minimum.

Strategy 2: Pre-Spike Accumulation

By counting ticks and monitoring price compression (tight range, decreasing pip movement), experienced traders can identify when a spike is statistically more likely. Enter in the direction of the expected spike 50–100 ticks before the statistical average. This requires tick counter tools available on MT5.

Strategy 3: EMA Trend Filter on Boom/Crash

Apply a 20 EMA and 50 EMA to Boom 1000. Only take long trades when price is above both EMAs and the 20 crosses above the 50. Sell signals are filtered out on Boom indices due to the upward statistical bias. This filter alone improves win rate significantly by trading with the spike probability rather than against it.

■ PRO TIP

On Boom indices, always trade in the direction of the spikes (long). On Crash indices, trade short. Trading against the spike direction is the #1 mistake beginners make on these instruments.

Jump Indices

High-Frequency Jump Markets

Jump indices are a relatively newer addition to the synthetic indices family, designed to simulate assets that experience sudden, large price jumps at regular intervals. Jump 10, Jump 25, Jump 50, Jump 75, and Jump 100 each have different jump frequency and magnitude parameters. Unlike Boom & Crash, jumps can occur in either direction, creating a bidirectional opportunity market.

Jump Index Characteristics

Index	Jump Freq	Jump Size	Notes
Jump 10	~10 jumps/hour	±5–15 pts per jump	Low intensity, learner-friendly
Jump 25	~25 jumps/hour	±15–35 pts per jump	Moderate frequency and magnitude
Jump 50	~50 jumps/hour	±30–60 pts per jump	High frequency, requires fast execution
Jump 75	~75 jumps/hour	±50–100 pts per jump	Intense market, needs pre-planned entries
Jump 100	~100 jumps/hour	±80–150 pts per jump	Expert-level only, extreme volatility

Jump Index Trading Strategies

Because jumps occur in both directions on Jump indices, you need strategies that can profit from either direction. The key is identifying the **pre-jump compression zone** — a period of tight consolidation that precedes most jumps.

Strategy: Bollinger Band Squeeze on Jump Indices

Apply Bollinger Bands (20, 2.0) to Jump 25. When the bands contract to their tightest point in 20 periods (a 'squeeze'), prepare for a large jump in either direction. Place a buy stop 10 points above current price and a sell stop 10 points below. When price triggers one order, cancel the other. Target 2:1 or 3:1 R:R. This strategy captures the explosive post-jump move.

Strategy: Post-Jump Reversal

After a large jump, price frequently mean-reverts partially before continuing. On Jump 50, if a 100-point upward jump occurs, wait for price to retrace 30–40% of the jump range, then enter long with a stop below the pre-jump low. This captures the second wave of momentum at a better entry price.



WARNING

Avoid placing market orders during an active jump sequence on Jump 75 or Jump 100. Slippage can be significant. Always use limit or stop-limit orders for precise execution.

Step Index

The Unique Fixed-Step Market

The Step Index is unlike any other synthetic instrument. Price moves in **fixed increments of exactly 0.10**, either up or down, at a rate of one tick per second. Each movement has a 50/50 probability of going up or down, making this the closest synthetic analogy to a pure random walk. However, despite the random nature of individual ticks, **meaningful short-term trends and patterns do emerge** that skilled traders can exploit.

Illustrated Chart — Step Index

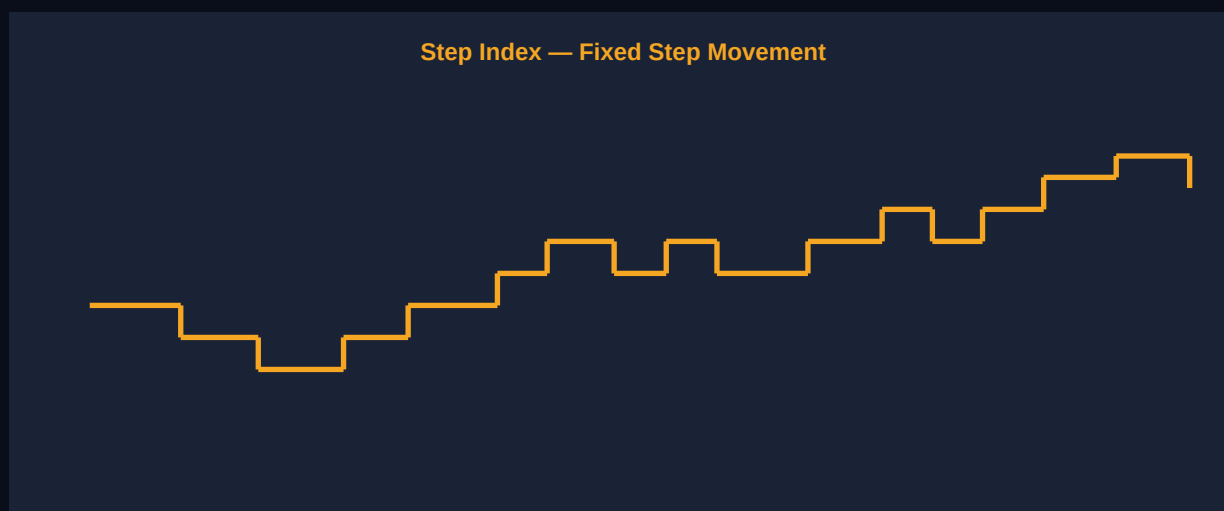


Fig 5.1 — Step Index showing characteristic stair-step price movements

Key Characteristics of Step Index

- **Fixed Tick Size:** Every move is exactly ± 0.10 — no variable spread widening.
- **1 Tick Per Second:** Generates exactly 3600 ticks per hour, fully predictable.
- **50/50 Direction:** Each tick has equal probability of up or down movement.
- **No Spikes:** Unlike Boom/Crash, Step Index has no sudden large moves.
- **Low Stress Trading:** Slower pace allows more deliberate decision-making.
- **Trend Runs:** Despite 50/50 probability, consecutive runs of 10–20 ticks in one direction are common.

Step Index Trading Strategies

Strategy 1: Run Trading

Track the number of consecutive up or down ticks. When price has moved 8–12 ticks in one direction, the probability of a reversal or consolidation increases. Enter counter-trend positions with 5-tick targets and 5-tick stop losses. This requires a fast execution mindset and a dedicated tick counter.

Strategy 2: Moving Average Crossover on Step Index

Apply a 10-period SMA and 20-period SMA to the Step Index. Despite the random tick basis, moving average crossovers on the 1-minute chart have shown statistical significance. When the 10 SMA crosses above the 20

SMA, enter long. When it crosses below, enter short. Use a 20-tick trailing stop.

Range Break Indices

Trading Breakout Events

Range Break indices (Range Break 10 and Range Break 25) simulate a market that consolidates in a defined range and then breaks out dramatically. The number indicates approximately how many times the range breaks per 100 trading days. These instruments are ideal for traders who specialise in breakout strategies.

Range Break 10 vs Range Break 25

Range Break 10	Range Break 25
✓ ~10 breakouts per 100 days	✗ ~25 breakouts per 100 days
✓ Longer consolidation periods	✗ Shorter, more frequent ranges
✓ Larger breakout magnitude	✗ Smaller but more frequent moves
✓ More patience required	✗ More active trading opportunities
✓ Cleaner technical setups	✗ Requires faster execution

Range Break Trading Strategy

The most effective approach to Range Break indices is to identify the current range boundaries and wait for a confirmed breakout. Use the following systematic approach:

- **Step 1:** Identify the recent swing high and swing low to define the current range.
- **Step 2:** Draw horizontal lines at resistance (range high) and support (range low).
- **Step 3:** Wait for a candle close ABOVE resistance or BELOW support — do not enter on a wick.
- **Step 4:** Enter on the retest of the broken level (now acting as new support/resistance).
- **Step 5:** Set stop loss inside the broken range. Target: range width × 1.5 projected from breakout.

■ PRO TIP

The most reliable breakouts on Range Break 25 occur when consolidation has lasted more than 3 hours on the 5-minute chart. Shorter consolidations tend to produce false breakouts.

Market Structure Analysis

Reading the Market's Language

Market structure is the foundation of all technical analysis. Before applying any indicator or trading strategy, a professional trader must first understand the current structural state of the market. Market structure tells you **what the market is doing** — trending, ranging, or breaking down — and dictates which strategies are appropriate.

The Three Market States

1. Uptrend (Bullish Structure)

Price makes consistently Higher Highs (HH) and Higher Lows (HL). Each new high exceeds the previous high, and each pullback low is higher than the previous low. This is the most reliable trending environment.

2. Downtrend (Bearish Structure)

Price makes consistently Lower Highs (LH) and Lower Lows (LL). Each new low is below the previous low, and each retracement fails to reach the previous high. Short positions have the statistical advantage.

3. Range / Consolidation

Price oscillates between defined horizontal support and resistance levels without making new highs or lows. Range trading strategies work best here — buy support, sell resistance.

Break of Structure (BOS) and Change of Character (ChoCH)

A **Break of Structure (BOS)** occurs when price breaks a key swing point in the direction of the current trend, confirming trend continuation. A **Change of Character (ChoCH)** occurs when price breaks the last swing low in an uptrend (or last swing high in a downtrend), signalling a potential trend reversal. Distinguishing between these two events is crucial for timing entries and avoiding premature reversals.

Illustrated Price Action — Bullish Trend

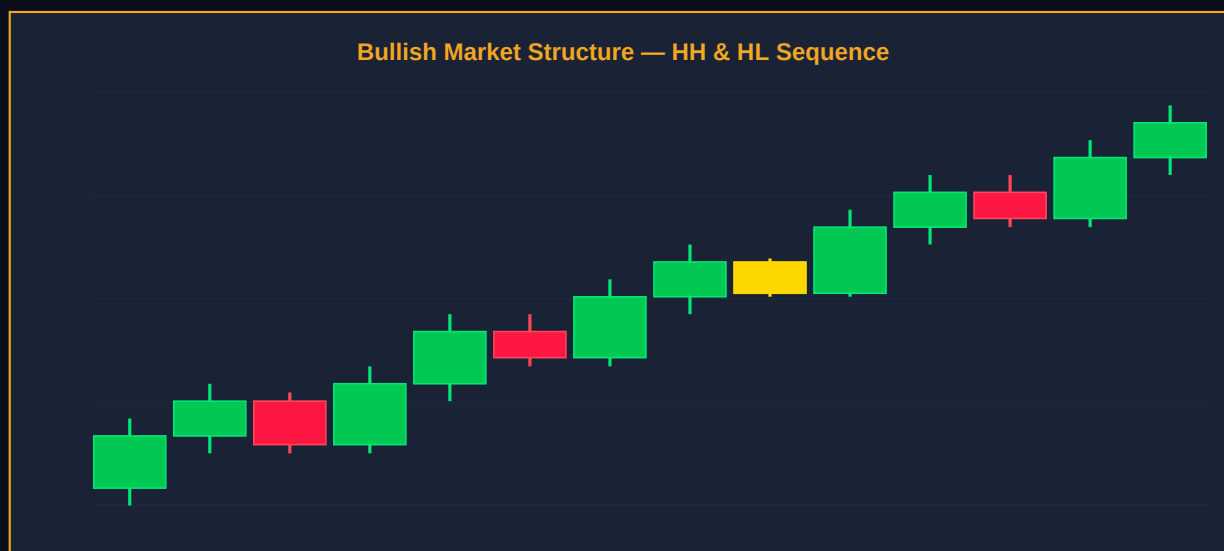


Fig 7.1 — Bullish structure with consecutive Higher Highs and Higher Lows

Order Blocks

An **Order Block** is the last bearish candle before a bullish impulse (bullish order block) or the last bullish candle before a bearish impulse (bearish order block). Institutional traders often re-enter positions at these levels when price returns, creating reliable support and resistance zones. Look for large-bodied candles followed by explosive moves away — these are your order blocks.

Support & Resistance

The Backbone of Technical Analysis

Support and resistance are arguably the most important concepts in all of technical analysis. Every trader — from beginner to professional — uses these levels to make trading decisions. Understanding how to identify, validate, and trade from support and resistance zones is a skill that will improve every strategy you apply to synthetic indices.

Illustrated S&R; Chart



Fig 8.1 — Price bouncing between support (green) and resistance (red) zones

How to Identify Key Levels

- **Look Left:** The most reliable levels are those that have been tested multiple times on higher timeframes.
- **Round Numbers:** Prices ending in 00, 50, or 25 (e.g., 1000.00, 1250.50) act as psychological levels.
- **Previous Daily High/Low:** The prior day's high and low are watched by institutional algorithms.
- **Weekly Open:** The weekly opening price acts as a major pivot throughout the week.
- **Fair Value Gaps (FVG):** Three-candle imbalances where price moved too fast, leaving unfilled orders.

Support Becomes Resistance (Flip Levels)

One of the most powerful concepts in support and resistance trading is the **role reversal**. When a support level is broken decisively, it becomes resistance. When resistance is broken, it becomes support. Trading these flipped levels on the retest is a high-probability, low-risk strategy that works consistently on all synthetic indices.

S&R; Level Validation Checklist

- ✓ Level has been tested at least 2–3 times on the relevant timeframe

- ✓ Previous touches show clear price reactions (rejection wicks, reversal candles)
- ✓ Level aligns with a round number or previous swing point
- ✓ Higher timeframe confirms the level (e.g., weekly level visible on daily chart)
- ✓ Volume (where available) increases at the level, confirming institutional interest
- ✓ Level has not been tested too many times recently (over-tested levels often break)

Supply & Demand Zones

Institutional Order Flow

Supply and demand zone analysis elevates traditional support and resistance trading to an institutional level. While S&R; focuses on price levels (lines), supply and demand zones identify the **price ranges** where large institutional orders were placed, creating imbalances that continue to influence price long after the initial move.

Identifying Supply & Demand Zones

Demand Zones (Support)

A demand zone is formed when price makes a swift, explosive move upward from a consolidation area. The base (consolidation candles before the explosive move) is your demand zone. When price returns to this zone, unfilled buy orders from institutions trigger, pushing price back up. Look for: tight consolidation + large bullish impulse = strong demand zone.

Supply Zones (Resistance)

A supply zone forms when price makes a swift, explosive move downward from a consolidation area. The base of candles before the drop is your supply zone. Institutions have unfilled sell orders here. When price returns, sellers overwhelm buyers and price drops again. Look for: tight consolidation + large bearish impulse = supply zone.

Zone Strength Criteria

Zone Type	Criteria	Strength Rating
Fresh Zone	Never retested since formation	★★★★★ Strongest
First Retest	Tested once, held well	★★★★■ Very Strong
Second Retest	Tested twice, still holding	★★★██ Moderate
Over-Tested	3+ tests, weakening structure	★★███ Weak
Broken Zone	Price closed beyond the zone	█████ Invalid

Trend Analysis

Trading With the Current, Not Against It

The single most repeated piece of trading wisdom is 'the trend is your friend' — and for good reason. Statistical analysis of synthetic indices consistently shows that trend-following strategies outperform counter-trend strategies over the long run. This chapter covers all tools and methods for identifying, confirming, and trading with the dominant trend.

Trend Identification Tools

Moving Averages (MA)

The most widely-used trend tool. The 20 EMA for short-term trend, 50 EMA for medium-term, and 200 EMA for long-term trend direction. When price is above the 200 EMA, the bias is bullish. Below = bearish.

Average Directional Index (ADX)

ADX measures trend strength, not direction. $ADX > 25$ = trending market (use trend strategies). $ADX < 20$ = ranging market (use range strategies). $ADX > 40$ = very strong trend.

MACD (Moving Average Convergence Divergence)

When the MACD line is above the signal line and above zero, the trend is bullish. Below both = bearish trend. MACD histogram expanding = trend strengthening.

Price Action Structure

The most reliable trend tool requires no indicator. Higher Highs + Higher Lows = uptrend. Lower Lows + Lower Highs = downtrend. This is the primary trend confirmation method.

Multi-Timeframe Trend Analysis

Professional traders always confirm trends on multiple timeframes before entering. The standard approach uses three timeframes: a **higher timeframe** for overall direction, a **medium timeframe** for structure and entry zones, and a **lower timeframe** for precise entry timing.

Timeframe	Role	Synthetic Index Application
1H / 4H	Trend Direction	Identify whether market is bullish or bearish overall
15M / 30M	Structure & Zones	Find key S&R; levels and supply/demand zones
1M / 5M	Entry Timing	Wait for rejection candle or breakout confirmation

Candlestick Patterns

Reading Price Action Through Candles

Candlestick patterns are the visual language of price action. Originating in 18th-century Japan, these patterns reveal the psychological battle between buyers and sellers in each time period. On synthetic indices, where price is generated mathematically, candlestick patterns show high statistical reliability due to the consistent underlying volatility parameters of each index.

Doji — Indecision — buyers and sellers in equilibrium

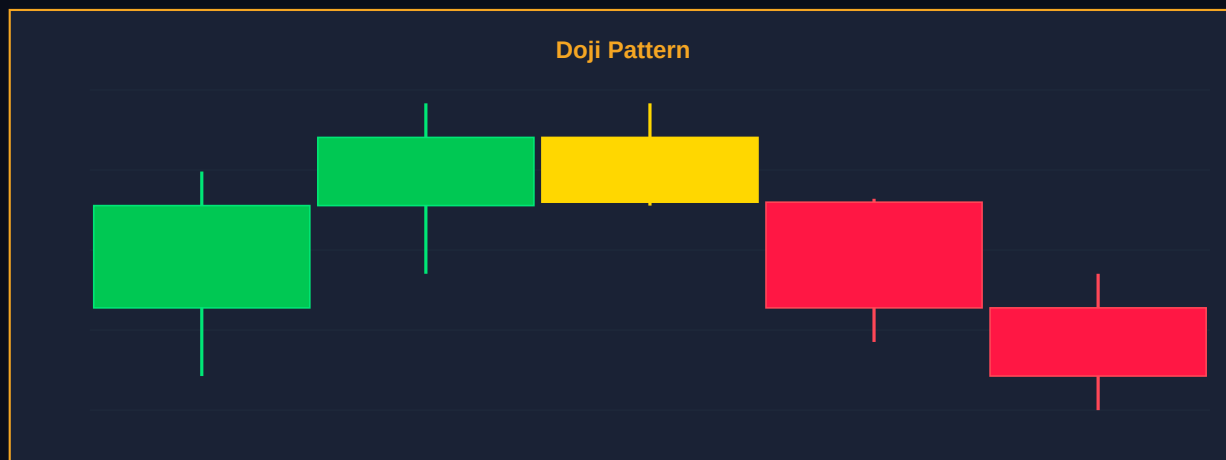


Fig 11.1 — Indecision — buyers and sellers in equilibrium

A candle where open $\approx$ close, creating a cross shape. Signals indecision and potential reversal. Most powerful at key S&R; levels or after extended trends.

Hammer / Pin Bar — Bullish reversal at support

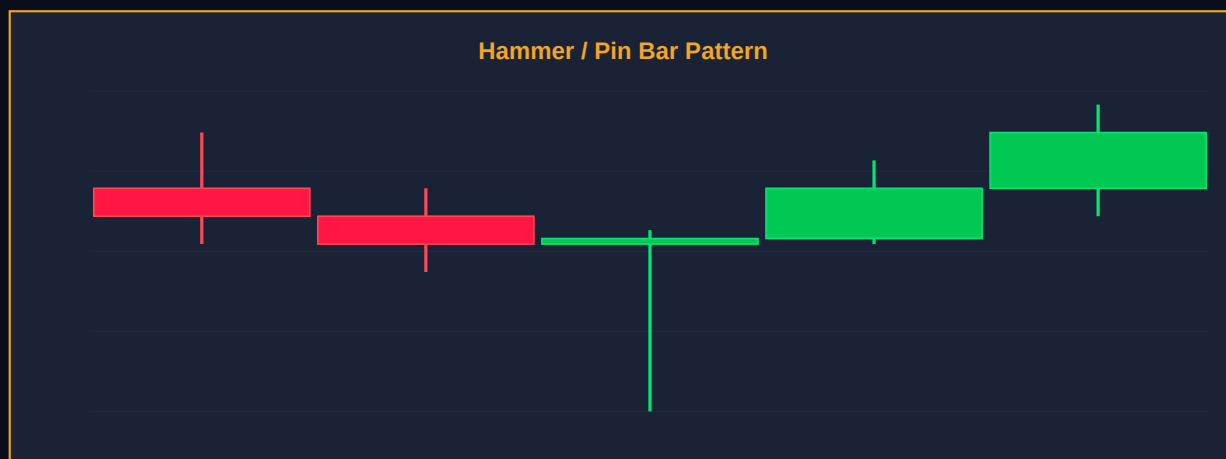


Fig 11.2 — Bullish reversal at support

Long lower wick (2-3 $\times$ body length) with small body at the top. Shows buyers rejected lower prices. Enter long on the close of the next candle above the hammer high.

Bullish Engulfing — Strong bullish reversal pattern

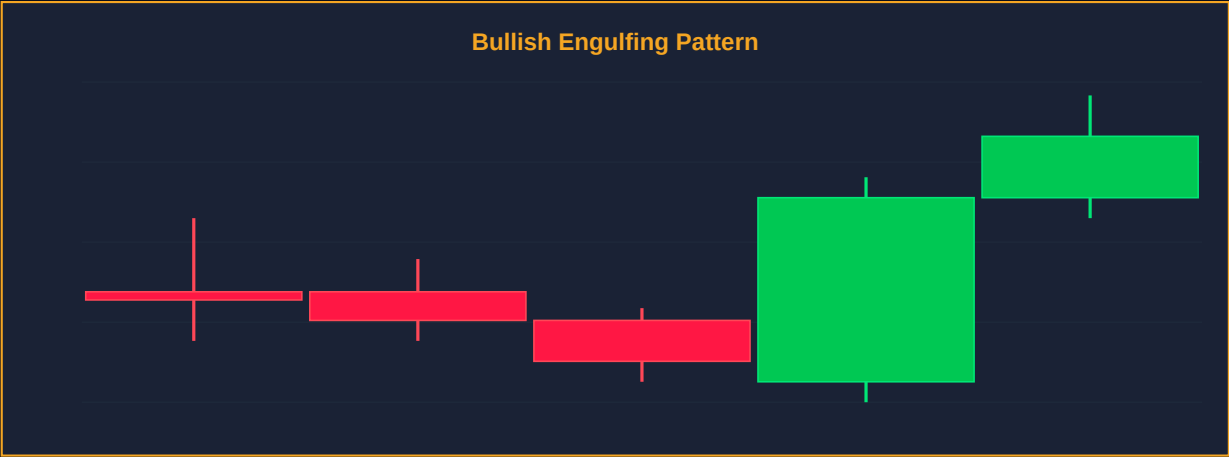


Fig 11.3 — Strong bullish reversal pattern

A large bullish candle completely engulfs the previous bearish candle. Indicates a decisive shift in momentum from sellers to buyers. Very reliable on Vol 50 at demand zones.

Complete Candlestick Pattern Reference

Pattern	Description & Signal
Bullish Marubozu	Large all-body bullish candle, no wicks. Maximum buying pressure.
Bearish Marubozu	Large all-body bearish candle, no wicks. Maximum selling pressure.
Shooting Star	Long upper wick, small body at bottom. Bearish reversal at resistance.
Inverted Hammer	Long upper wick at support. Bullish reversal potential after down move.
Morning Star	3-candle pattern: large bearish + small indecision + large bullish. Strong reversal.
Evening Star	3-candle pattern: large bullish + small indecision + large bearish. Strong reversal.
Three White Soldiers	Three consecutive bullish candles. Confirms strong uptrend continuation.
Three Black Crows	Three consecutive bearish candles. Confirms strong downtrend continuation.
Inside Bar	Candle fully contained within previous candle. Breakout trade setup.
Outside Bar (Engulfing)	Candle engulfs previous candle entirely. Momentum shift signal.

Buy & Sell Signals

Defining Your Trading Triggers

A trading signal is a specific, pre-defined set of conditions that must be met before entering a trade. Professional traders never enter 'on feel' — every trade is triggered by a clear signal that has been backtested and validated. This chapter presents high-probability buy and sell signal frameworks for synthetic indices.

The High-Probability Buy Signal Framework

- **Condition 1 — Trend:** Price is above the 50 EMA on the current timeframe (uptrend confirmed).
- **Condition 2 — Zone:** Price has retraced to a known demand zone or support level.
- **Condition 3 — Candlestick:** A bullish reversal candle forms at the zone (hammer, engulfing, pin bar).
- **Condition 4 — RSI:** RSI is below 40 and turning upward (oversold recovery).
- **Condition 5 — Entry:** Enter on the close of the trigger candle or the open of the next candle.
- **Condition 6 — Stop Loss:** Below the low of the trigger candle (or zone low).
- **Condition 7 — Target:** Next resistance level or minimum 2:1 risk-reward ratio.

The High-Probability Sell Signal Framework

- **Condition 1 — Trend:** Price is below the 50 EMA on the current timeframe (downtrend confirmed).
- **Condition 2 — Zone:** Price has retraced to a known supply zone or resistance level.
- **Condition 3 — Candlestick:** A bearish reversal candle forms at the zone (shooting star, bearish engulfing).
- **Condition 4 — RSI:** RSI is above 60 and turning downward (overbought rejection).
- **Condition 5 — Entry:** Enter on the close of the trigger candle or the open of the next candle.
- **Condition 6 — Stop Loss:** Above the high of the trigger candle (or zone high).
- **Condition 7 — Target:** Next support level or minimum 2:1 risk-reward ratio.

Illustrated Bearish Market — Sell Signal Setup



Fig 12.1 — Bearish market structure with Lower Highs and Lower Lows confirming sell bias

Entry & Exit Strategies

Precision Timing for Maximum Profitability

Having a good trade idea is worthless without precise entry and exit execution. Many traders with excellent market analysis fail to profit because they enter too early, exit too soon, or let losing trades run too long. This chapter provides a complete framework for timing entries and exits with surgical precision.

Entry Techniques

1. Candle Close Entry (Most Conservative)

Wait for a candle to fully close in the direction of your trade signal before entering. This eliminates false signals caused by wicks that temporarily touch your trigger level. Best for beginners and traders who prefer confirmed signals over optimal entry prices. Slightly worse R:R but much higher reliability.

2. Limit Order Entry (Best Price)

Place a limit order at a specific price within the signal zone — typically the 50–61.8% retracement of the signal candle. This improves your risk-reward ratio significantly but carries the risk of the order not filling if price reverses immediately. Best for experienced traders who have validated their zones extensively.

3. Stop Order Entry (Momentum Confirmation)

Place a buy stop above the high of the signal candle (or sell stop below the low). This confirms that price is already moving in your favour before you enter, reducing false signal risk. Slightly worse entry price but higher momentum confirmation. Excellent for breakout trades on Range Break indices.

Exit Strategies

1. Fixed Risk-Reward Exit

Pre-define a 2:1, 3:1, or higher risk-reward target before entering. If your stop loss is 20 pips, your target is 40 pips (2:1) or 60 pips (3:1). This systematic approach ensures profitability even with a sub-50% win rate.

2. Structure-Based Exit

Exit at the next major structure level — previous swing high for longs, previous swing low for shorts. This respects market structure and captures realistic moves rather than arbitrary pip targets.

3. Trailing Stop Loss

As price moves in your favour, move your stop loss to lock in profits. Common methods: trail by a fixed pip amount, trail below each new Higher Low (for longs), or use the ATR trailing stop. Never move a stop loss against your trade.

4. Partial Profit Taking

Close 50% of your position at 1:1 risk-reward, move stop to breakeven, and let the remaining position run to your full target. This approach guarantees you never lose on a trade that initially moves in your favour and captures the full profit potential of extended trends.

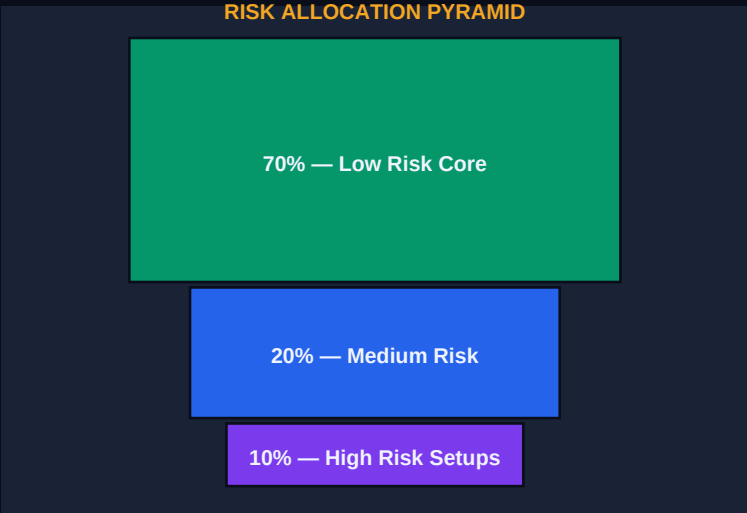
■ **PRO TIP**

The Partial Profit + Breakeven Stop method is the preferred exit strategy for Vol 50 and Vol 75 because it captures both short trends and extended runs without risking a winner turning into a loser.

Risk Management

Protecting Your Capital at All Costs

Risk management is not optional — it is the single most important factor separating professional traders from gamblers. You can have the best strategy in the world and still blow your account without proper risk management. Conversely, a mediocre strategy with excellent risk management can be consistently profitable over time.



Risk Allocation Framework

Structure your trading capital into three tiers:

- **70% Core Capital** — Low-risk trades only (0.5–1% per trade risk)
- **20% Growth Capital** — Medium risk (1–2% per trade risk)
- **10% Speculative** — High-reward setups (2–3% max risk)

Never risk more than 3% of total account on any single trade.

The Core Risk Management Rules

Rule	Detail
1% Rule	Never risk more than 1–2% of your total account balance on any single trade.
Daily Loss Limit	Stop trading for the day after losing 3–5% of account. Prevent revenge trading.
Weekly Loss Limit	If weekly drawdown exceeds 10%, reduce position sizes by 50% the following week.
Stop Loss — ALWAYS	Every single trade must have a pre-placed stop loss order. No exceptions.
Risk:Reward Minimum	Never take a trade with less than 1.5:1 risk-reward. Target 2:1 or better.
Correlation Risk	Don't hold multiple positions on correlated indices simultaneously (e.g., Vol 75 + Vol 100).

Margin Management	Never use more than 50% of available margin. Keep buffer for adverse moves.
Scaling In/Out	Add to winning positions only (scale in). Never average down losing positions.

Trading Psychology

Mastering the Most Difficult Market — Your Mind

Studies consistently show that 70–80% of trading failures are psychological, not technical. You can learn every strategy in this book perfectly and still fail if you cannot control your emotions during live trading. Developing mental resilience, discipline, and emotional neutrality is the final — and most challenging — piece of the profitable trading puzzle.

The Six Core Psychological Challenges

Fear of Missing Out (FOMO)

Entering trades late because you fear missing a move. Solution: Accept that there will always be another trade. Define entry rules strictly and only enter when all conditions are met.

Revenge Trading

Taking impulsive trades after a loss to 'get money back.' Solution: Implement a mandatory 15-minute break after every losing trade. Never trade while angry or frustrated.

Overconfidence Bias

After a winning streak, taking oversized positions or skipping confirmations. Solution: Keep position sizes consistent regardless of recent performance.

Loss Aversion

Holding losing trades too long hoping they'll recover, while closing winners too early. Solution: Let your trading plan — not emotions — dictate when to exit.

Confirmation Bias

Only seeing signals that confirm what you want to do, ignoring contradictory evidence. Solution: Actively seek reasons NOT to take a trade before you take it.

Analysis Paralysis

Over-analysing to the point of missing valid trade setups. Solution: Define 3–5 maximum criteria for an entry. If all are met, take the trade without hesitation.

"The markets are not your enemy. Your own emotions are your greatest adversary."

■ PRO TIP

Keep a trading journal. Write down not just your trades but your emotional state before, during, and after each trade. Patterns in your psychological weaknesses will become clear within weeks.

Common Mistakes & How to Avoid Them

Learn From Others' Losses

Every professional trader has made costly mistakes on their journey to profitability. The traders who succeed are not those who never make mistakes — they are those who learn from each mistake quickly and implement systems to prevent repetition. This chapter catalogues the most expensive mistakes in synthetic indices trading.

Mistake	Solution
✓ Trading Without a Plan: Entering trades based on gut feeling or ...	✗ Create a written trading plan (see Chapter 17) and foll...
✓ No Stop Loss: Letting losses run indefinitely, hoping ...	✗ Pre-place every stop loss before entering. If your brok...
✓ Oversizing Positions: Risking 10–20% per trade in desperation ...	✗ Calculate exact lot size before every trade using posit...
✓ Trading All Index Types: Switching between Vol 10, Boom/Crash, Ju...	✗ Master ONE index type for at least 3 months before dive...

Mistake 1: Trading Without a Plan

Problem: Entering trades based on gut feeling or tips without a defined strategy.

Solution: Create a written trading plan (see Chapter 17) and follow it religiously for 30 days.

Mistake 2: No Stop Loss

Problem: Letting losses run indefinitely, hoping price will come back.

Solution: Pre-place every stop loss before entering. If your broker/platform allows, use OCO (one-cancels-other) orders.

Mistake 3: Oversizing Positions

Problem: Risking 10–20% per trade in desperation to recover losses quickly.

Solution: Calculate exact lot size before every trade using position size formula: $\text{Risk\$} / (\text{Stop Distance} \times \text{Pip Value})$.

Mistake 4: Trading All Index Types

Problem: Switching between Vol 10, Boom/Crash, Jump indices randomly without mastery.

Solution: Master ONE index type for at least 3 months before diversifying. Depth beats breadth in early development.

Mistake 5: Ignoring Higher Timeframes

Problem: Taking 1-minute signals against the 1-hour trend direction.

Solution: Always check at least 2 higher timeframes before entering. Never trade against the dominant structure.

Mistake 6: Moving Stop Loss Wider

Problem: When price approaches your stop, moving it further away to avoid the loss.

Solution: Your original stop placement was based on logical analysis. Moving it is pure emotion. Honor your stops.

Mistake 7: Chasing Spikes

Problem: Entering Boom/Crash positions after a spike has already occurred, expecting continuation.

Solution: Wait for post-spike consolidation and entry in the statistical direction of the next spike.

Mistake 8: Overtrading

Problem: Taking 20–30 trades per day out of boredom or desperation.

Solution: Set a maximum of 3–5 high-quality trades per day. Quality over quantity is always the winning approach.

Professional Trading Plan

Your Blueprint for Consistent Profitability

A professional trading plan is your business plan for trading. It removes emotion from the equation by pre-defining every decision you will make in the market. No professional trader operates without a written plan. This chapter provides a complete template you can adapt to your specific trading style and goals.

Section 1: Personal Trading Profile

- Primary Index: Vol 50 (master this first)
- Trading Sessions: 2 defined sessions per day maximum
- Maximum Trades Per Day: 3 high-quality setups
- Risk Per Trade: 1–2% of account balance
- Daily Loss Limit: 5% — stop trading if reached
- Target Monthly Return: 5–15% (realistic and sustainable)

Section 2: Market Analysis Criteria

- Step 1: Check 1H chart for overall trend direction (above/below 50 EMA)
- Step 2: Identify key S&R; zones and supply/demand on 15M chart
- Step 3: Wait for price to reach a pre-identified zone
- Step 4: Switch to 5M for entry signal confirmation
- Step 5: Confirm with candlestick pattern at zone + RSI alignment

Section 3: Trade Entry Rules

- Only enter with minimum 3 of 5 confluence factors present
- Stop loss must be logical (behind structure) — not arbitrary
- Calculate position size before entry using risk formula
- Target minimum 2:1 R:R — ideally 3:1 on trend trades
- Enter on candle close (conservative) or limit order (advanced)

Section 4: Trade Management Rules

- Partial close at 1:1 R:R — move stop to breakeven
- Trail remaining position behind Higher Lows (or Lower Highs)
- Never add to a losing position (no averaging down)
- Review trade mid-session only at defined interval (no screen-staring)
- Close all positions 30 minutes before your trading session ends

Section 5: Post-Trade Review

- Journal every trade: entry reason, outcome, emotional state
- Weekly review: identify patterns in winning vs losing trades
- Monthly review: adjust strategy parameters if win rate < 45%
- Compare actual results to planned R:R — identify execution issues

- Celebrate disciplined execution regardless of outcome

■ **PRO TIP**

Print your trading plan and keep it visible at your trading station. Review it before every trading session. A plan you don't follow is worse than no plan — it creates a false sense of preparation.

Detailed Market Analysis Examples

Real Trade Walk-Throughs

The best way to internalize trading concepts is through detailed, step-by-step trade examples. The following scenarios walk you through complete trade analyses from initial chart reading to final exit, using the strategies and principles covered throughout this book.

Example Trade 1: Vol 50 — Bullish Trend Trade

Market Context	Vol 50 on the 15M chart. Price has been making HH and HL structure for 3 hours. The 50 EMA is sloping upward with price cleanly above it.
Zone Identification	A clear demand zone identified at 1248.50–1250.00 from where the last strong bullish impulse originated. Zone is unretested (fresh).
Entry Trigger	Price retraces into the demand zone. On the 5M chart, a bullish pin bar with a long lower wick forms at 1249.20, closing at 1249.85.
Position Sizing	Account: \$1,000. Risk 1% = \$10. Stop at 1248.00 (below zone low). Risk distance = 185 pips. Lot size: 0.01 (micro-lot).
Trade Execution	Buy at 1249.85. Stop loss: 1248.00. Target 1 (1:1): 1251.70. Target 2 (3:1): 1255.40.
Management	Price reaches 1:1 target at 1251.70. Close 50% of position. Move stop to breakeven (1249.85). Let rest run to Target 2.
Outcome	Price reaches 1255.40 final target. Total profit: $0.5 \times \$10 + 0.5 \times \$30 = \$20$. 2% return on \$1,000 account from one trade.

Example Trade 2: Boom 1000 — Spike Direction Trade

Context: Boom 1000 has had no spike in the last 750 ticks. Using a tick counter indicator, we're approaching statistical spike probability. The 20 EMA is above the 50 EMA, confirming upward bias.

Setup: Price is in a tight consolidation (inside bar) on the 5M chart. RSI at 52 — neutral, room to run upward. We enter a buy position anticipating the spike. Stop loss set 50 pips below current price (below consolidation low).

Execution: Spike occurs 120 ticks later, driving price 300 pips upward in seconds. Full target achieved before price mean-reverts. Trade held for 4 minutes. Profit: \$25 on \$1,000 account (2.5% return).

CHAPTER 19

Beginner to Advanced Lessons

Your Complete Trading Education Roadmap

Trading proficiency doesn't happen overnight — it follows a predictable developmental path. Understanding where you are on this path and what skills to focus on next is critical for efficient learning. This chapter maps out a structured progression from complete novice to professional-level synthetic indices trader.

BEGINNER

Timeline: Weeks 1–4

- ◆ Open Deriv demo account and explore all synthetic index types
- ◆ Learn to read candlestick charts and basic price movements
- ◆ Study support and resistance — practice drawing levels daily
- ◆ Learn the 3 types of market structure (uptrend, downtrend, range)
- ◆ Practise risk calculations — position size formula until automatic
- ◆ Focus on Vol 10 or Vol 25 ONLY during this phase
- ◆ Target: 50 demo trades with journal entries before any real money

INTERMEDIATE

Timeline: Months 2–4

- ◆ Master 5 candlestick patterns and be able to identify them instantly
- ◆ Learn multi-timeframe analysis (1H → 15M → 5M framework)
- ◆ Study supply and demand zone identification and trading
- ◆ Backtest one simple strategy for minimum 100 historical trades
- ◆ Transition to Vol 50 after consistent demo profitability
- ◆ Implement the full buy/sell signal framework from Chapter 12
- ◆ Begin live trading with micro-lots (\$0.01) — real money builds discipline

ADVANCED

Timeline: Months 5–9

- ◆ Develop a personal edge by specialising in one index and one setup
- ◆ Learn Boom & Crash spike mechanics and tick counting strategies
- ◆ Study institutional concepts: order blocks, FVG, liquidity sweeps
- ◆ Create a formal trading plan (Chapter 17) and follow it for 60 days
- ◆ Develop a trading journal with weekly statistical analysis
- ◆ Expand to Jump or Range Break indices after Vol 50 mastery
- ◆ Target: 3 consecutive profitable months before scaling up capital

PROFESSIONAL

Timeline: Month 10+

- ◆ Consistent 5–15% monthly returns on real capital over 6+ months
- ◆ Complete drawdown control — maximum monthly DD below 10%

- ◆ Emotional discipline: zero revenge trades, zero FOMO entries
- ◆ Mastery of at least 2 index types with documented edge statistics
- ◆ Mentoring others or building algorithmic systems based on your edge
- ◆ Exploring automated trading (EAs) on MT5 for systematic execution
- ◆ Business-level capital management: withdrawals, reinvestment planning

Daily Trading Checklist

Your Pre-Trade Ritual for Consistent Results

Professional traders follow pre-trade rituals as religiously as pilots follow pre-flight checklists. This isn't optional procedure — it's the systematic protection against costly emotional decisions. Complete every item on this checklist before placing your first trade of the day.

PRE-SESSION CHECKLIST (Before You Trade)

- Mind is clear — not trading angry, tired, stressed, or under pressure
- Review yesterday's trades in journal — note patterns and lessons
- Confirm account balance and check open P&L; if any positions held
- Review weekly progress — are you ahead or behind monthly target?
- Set today's maximum loss limit (e.g., 3%) — stop if hit
- Set today's profit target — consider stopping after achieving it
- Confirm trading session time window (stay within defined hours)
- Chart workspace ready: correct timeframes, indicators applied

MARKET ANALYSIS CHECKLIST (Per Trade Opportunity)

- Identified the dominant trend on the 1H timeframe
- Located key S&R; or supply/demand zones on the 15M chart
- Confirmed price is at or near a high-probability zone
- Identified a clear candlestick signal on the entry timeframe (5M)
- RSI aligned with trade direction (below 40 for buys, above 60 for sells)
- Minimum 3 of 5 confluence factors confirmed
- Risk:Reward calculated — minimum 2:1 confirmed before entry
- Stop loss placement logical (behind structure, not arbitrary pips)

TRADE EXECUTION CHECKLIST (At Entry)

- Position size calculated correctly using risk formula

- Stop loss order placed BEFORE or simultaneously with entry
- Take profit order set at pre-defined target level
- Entry is clean — not chasing price or entering mid-spike
- Noted trade in journal: index, direction, entry, SL, TP, reasoning

POST-SESSION CHECKLIST (After Trading)

- All positions reviewed — no unintended open trades remaining
- All trade results entered in trading journal
- Note emotional state during session — any FOMO, fear, or revenge trades?
- Review against daily loss limit — was discipline maintained?
- Identify one improvement for tomorrow's session
- Disconnect from charts — define clear end to trading session

"Discipline is the bridge between goals and accomplishment."

CONGRATULATIONS!

You Have Completed Synthetic Indices Mastery

You now possess a comprehensive understanding of synthetic indices trading — from the fundamental mechanics of each instrument type through to professional-grade strategy, risk management, and psychology. The knowledge in this book represents years of market experience distilled into an actionable framework.

Remember: **consistency beats intensity**. Focus on mastering one index, one strategy, and one timeframe before expanding. Document everything in your journal. Follow your trading plan without exception. Protect your capital above all else.

- ★ Trade with the trend — always confirm structure before entry
- ★ Master Vol 50 first — it is the ideal learning and trading instrument
- ★ Never trade without a stop loss — never move it against your trade
- ★ Risk only 1–2% per trade — let compounding do the work over time
- ★ Journal every trade — your data is more valuable than any external advice
- ★ Take breaks after losses — emotional state is a trading risk factor
- ★ Review your trading plan weekly — adjust only with data, not emotion
- ★ Be patient — consistent profitability takes 6–18 months to develop

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